Economics - Graduate Level Assessment 22 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. If nominal GDP equals 5000$andrealGDPequals$4000 then the GDP Deflator equals

   (a) 0.5

   (b) 125

   (c) 500

   (d) 0.8

   (e) 100

2. What is the effect on savings of a tax cut of $10 billion? Is thisinflationary or deflationary? Assume that the marginal propensity to consume is 0.85.

   (a) $1.5 billion

   (b) $8.5 billion

   (c) $0.85 billion

   (d) $15 billion

   (e) $56.67 billion

3. The real interest rate is

   (a) the anticipated inflation rate plus the nominal interest rate

   (b) the nominal interest rate multiplied by the inflation rate

   (c) what one sees when looking at bank literature

   (d) the anticipated inflation rate minus the nominal interest rate

   (e) the nominal interest rate minus anticipated inflation

4. What do we mean when we say that the farm problem may be cor-rectly envisioned as a problem of resource misallocation?

   (a) Overproduction and wastage of crops

   (b) Lack of alternative employment

   (c) Excessive government intervention in agriculture

   (d) Inefficient farming methods

   (e) Low income of farmers

5. What will be the properties of the OLS estimator in the presence of multicollinearity?

   (a) It will not be unbiased or efficient

   (b) It will be consistent and efficient but not unbiased

(c) It will be efficient but not consistent or unbiased

(d) It will be efficient and unbiased but not consistent

(e) It will be consistent and unbiased but not efficient

True / False (10 marks)

Answer True or False

6. True or False: A price decrease for a normal good will always lead to an increase in quantity demanded, regardless of the income effect.

7. True or False: An increase in the price of tea, a substitute for coffee, will likely lead to an increase in the demand for coffee.

8. True or False: The removal of a protective tariff on imported steel leads to improved allocative efficiency in the steel market.

9. True or False: GDP is unaffected by the purchase of a second-hand painting, as it does not contribute to current economic production.

10. True or False: The entry of new firms into a monopolistically competitive industry will not affect the overall costs of production in the market.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of structural unemployment in the context of technological advancements, using the example of a dark room technician losing their job due to declining film camera usage.

12. Discuss the rationale behind subtracting expenditures for imports when measuring aggregate demand, and analyze how this differs from the inclusion of exports in the calculation.

End of Paper